

**Hindustan Copper Limited
Chairman Speech
47th AGM
19th September 2014, Kolkata**

Dear Valued Shareholders, Guests, Ladies & Gentlemen

Very Good Morning!

On behalf of the Board of Directors of the Company, it is a great honour and privilege for me to extend a very warm welcome to each one of you at the 47th Annual General Meeting of your Company.

The Annual Report for the year ended 31st March, 2014 along with the Directors' Report and the audited Annual Accounts of the Company have been circulated to you. I request your kind permission to take them as read.

Economic Scenario

Over the past few quarters, a changing pattern of global economic growth has been becoming evident. The large economies like USA, Japan and Euro Zone are showing distinct signs of recovery from the prolonged recession these countries were suffering. On the other hand, growth in the emerging economies like Brazil, Russia and China has moderated. Overall, global economic activity is expected to strengthen further during 2014-15 with most of the momentum coming from the mature market economies. According to World Economic Outlook of International Monetary Fund (IMF), global growth is projected to increase to 3.6 per cent in 2014 from 3.0 percent in 2013. This is projected to further increase to 3.9 percent in 2015.

The last few years have been very challenging for Indian Mining and Minerals sector. Indian economy which has seen the growth of below 5 percent in the past year requires huge investment in infrastructure sectors like energy, railways, roads, telecom, ports and airports to get out of this downturn. The growth of the manufacturing sector has always lagged the overall GDP of the Country. Given the circumstances, demand potential of metals and mineral sector of the Country has not been realized. Already, green shoots are visible in the manufacturing sector, and the first signs reflected in the Q1 GDP growth of the fiscal 2014-15. GDP growth during the period April-June 2014 is estimated to be 5.7 which is a sign of a pickup. Apart from an uptick in mining, manufacturing and electricity, we find that capital goods were up 23 percent in June'14 and Inflation is also now showing a clear signs of moderation.

The Government of India has taken several initiatives to improve the Indian economy, which has been responsible for a number of positive outcomes. One of them is to build a vibrant manufacturing sector with key mission of "MAKE IN INDIA" another one is reform in labor laws, and improved access to land & finance. These measures will also help small and medium size enterprises that are critical for the creation of jobs in the Country.

In this context, I also like to inform that the Government has taken right step in taking corrective steps to address the structural issues in the system. The fact that various departments of the government are working together to resolve systemic issues is encouraging.

Industry

Three major players continue to dominate the Indian Copper Industry. Hindustan Copper Limited (HCL) in Public Sector, M/s Hindalco and M/s Sterlite Industries in the Private Sector. HCL is the only vertically integrated copper producer in the country, while M/s Hindalco at Dahej in Gujarat and M/s Sterlite Industries in Tutuicorn in Tamil Nadu have set up port based smelting and refining plants.

Refined copper production was around 6.52 lakh tonnes, as compared to 6.93 lakh tonne in FY 2012-13. The consumption of refined copper in the year 2013-14 is estimated around 5.5 lakh tonnes as compared to 6.10 lakh tonne in 2012. The consumption was affected due to sluggish growth of the Indian economy.

The industrialization and rapid urbanisation will lead to high energy demand, hence it is essential to have constant power supply. Therefore, demand of copper will grow as copper is critical for transmission and distribution of electricity. Furthermore, the US 1.2 trillion dollar investment that the government has planned for the infrastructure sector in the 12th Five-Year Plan which is metal intensive is set to improve the demand of copper in coming years. It is expected that demand will touch 1.0 million tonne by 2017.

India's per capita copper consumption was less than 0.5 kg in 2010 compared to 4.6 kg in China and a world average of 2.4 kg. If India's per capita copper consumption moves towards the per capita copper consumption levels in the rest of the world, India's copper market has the potential for significant growth

Globally, China continues to dominate the market consuming around 40% of the global demand. There has been no sign of slowdown of Chinese

economy, IMF has predicted that Chinese economy will expand by 9.7% in next five years.

I would now like to briefly present the key features of your Company's performance during 2013-14.

Performance

Dividend

The Board of Directors of your Company has recommended payment of dividend at the rate of 20% i.e. Re 1/- per share on a face value of Rs 5/- for the year 2013-14, subject to your approval in the AGM. The financial outgo on this account shall be Rs. 92.52 crore and on account of tax on dividend is Rs 15.72 crore, aggregating to a total of Rs. 108.24 crore

Financial

During the Financial year 2013-14, your Company has posted Profit before Tax of Rs.431 crore which is 106 percent of the previous year As on 31st March, 2014, the Net Worth of the Company stood at Rs.1829.0 crore.

The Sales Turnover achieved during the year was Rs.1616 crore as registering a growth of 9.5 percent over previous year. I am happy to share with you that your Company continues to remain a debt free Company. This strength will be of immense help in raising funds for capital requirement if any, for the expansion and modernization programme.

I also like to mention that the Company is laying more emphasis on initiatives to reduce their cost and improve productivity given the volatility in LME copper prices witness in recent past.

Production

The copper ore production in India during the fiscal 2013-14 was 3.83 million tones as compared to 3.65 million tones in 2012-13 which is highest in last 15 years. Also, mine metal production i.e Metal in Concentrate (MIC), had increased by 11 percent compared with last year, which is highest in last 12 years. Copper cathode production during 2013-14 was 22,825 tones as against 24,210 tones in the previous year, the production suffered due to planned shutdown of Ghatsila Smelter & Refinery Plant for 75 days.

With regard to mining operations, I like to share that currently we are facing falling grade of copper ore from Malanjkhand mine. This is creating pressure on volume due to design constraint and delay in start of underground mine

project. However, I assure that the management of the Company is taking corrective steps to arrest the downside and in long term, the problem will be addressed.

Growth Initiatives

Maximum value is created at the mining and downstream level in the value chain of copper. Your Company focused on increasing the mine production given the fact it has huge natural resources of copper mineral. At present, your Company has planned eight mine expansion projects with a combined capex of Rs 3435 crore spread over five years. Work at site has started at four projects. Ore production from Banwas mine project is expected to start from first half of the year 2015.

I am happy to inform you that Standing Committee of National Wildlife Board has considered the proposal of Malanjkhand underground project in Aug 14 and we expect the formal order of approval soon. I am also happy to inform that we have received Environment Clearance of Rakha and Chapri-Sidheswar project. Work at site is expected to start this fiscal year.

Your Company has taken steps for adoption and assimilation of "Hydro-Metallurgy" technology for manufacturing of refined copper from sulphide copper ore. Results of Bench scale study conducted have been extremely positive and the Company have commissioned full scale pilot test to determine the techno-commercial feasibility. Continuing on the technology front, I am glad to inform that we have made an in-house R&D effort to extract Nickel Hydroxide as by-product from Ghatsila smelter operations.

Going forward, we also have initiated projects for manufacturing of downstream products of copper in Joint Venture. We have identified technology partner to extract minerals and materials from the copper ore tails. We expect that this will contribute significantly to the profitability of the Company in the years to come. This is a small step forward towards achieving the big goal of "Zero Waste Mining".

To harness the vast potential of non-renewal energy, Your Company has initiated solar power projects at its Units located at Khetrinagar and Malanjkhand.

Green Field Exploration

India's resource potential remains largely unexplored despite it being amongst the top 5 to 8 countries globally in term of reserves of iron ore, bauxite, zinc and coal. Only 25% of the area, amenable for copper mineralization has been covered through detailed exploration in the Country.

To harness the potential of copper mineral, your Company has applied for 16 fresh RP, Prospecting and mining applications in the State of Rajasthan, Jharkhand and MP. We are also vigorously pursuing the renewal of mining leases in other areas.

During the year, your Company has undertaken surface core exploratory drilling of 9,912 meters and 6072 meters at Chandmari intervening block at Khetri and Surda mine respectively. The results of the exploration are encouraging and is expected that resource base of the Company will increase.

Disinvestment

In terms of CCEA approval, the Government of India has sold 4, 77,741 shares out of its existing shareholding in HCL in the month of May, 2014 to the eligible employees at a price of Rs.66.50 and mobilized an amount of Rs.3.18 crore. Consequent to above disinvestment of shares, the Government shareholding in the Company has come down from 90% to 89.95%.

Corporate Governance

The philosophy of the Company in relation to corporate governance is to ensure transparency, disclosures and reporting that conforms fully with the laws and regulations of the country in order to promote ethical conduct and practices throughout the organization for enhancing stakeholders' value. Your Company is committed to comply with the provisions of Clause 49 of the Listing Agreement of SEBI relating to the Corporate Governance and the guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises, Government of India.

Your Company actively supports the "green initiatives" taken by the Ministry of Corporate Affairs (MCA) and has effected electronic delivery of Annual Report 2013-14 containing the AGM notice to those shareholders whose e-mail addresses were registered with the Registrar and Transfer Agent (RTA) of your Company / Depository Participant, and who have not opted for receiving the Annual Report in physical form. I look forward to receiving your full support in this endeavour to contribute towards a greener environment.

A separate section on corporate governance furnishing applicable details forms part of the Directors' Report.

Responsibility Towards Society

Your Company is committed to fulfill its social responsibilities for making positive impact on society through a planned set of initiatives as per the relevant provisions of The Companies Act, 2013 and Companies CSR Policy Rules, 2014.

During 2013-14, the Company has spent an amount of Rs.7.78 Crores on CSR and Sustainability which highest so far and compared to expenditure of Rs 5.13 Crores during FY 2012-13.

The Company has taken up several projects for Sustainable Development and Corporate Social Responsibility (CSR) through activities like Promoting Health Care, Sanitation and Drinking Water Facility, Promoting Education, Vocational Training and Livelihood opportunities, Promoting Women Empowerment, Promoting Environmental sustainability, Promoting Sports and various Rural Development Projects

The CSR and sustainability Plan of your Company for FY 2013-14 was firmed up, in accordance with the DPE guidelines and in line with the Baseline Survey conducted by M/s National Rural Development (NIRD), Hyderabad, an autonomous body under the Ministry of Rural Development, Government of India based on Participatory Rural Appraisal (PRA) exercise conducted in the nearby villages of our mining units.

Accolades & Recognitions

Your Company has been consistently receiving recognitions in various spheres of its activities. A few of the significant recognitions received in the recent past include the following.

- ◆ Skoch Renaissance Award for Corporate Leadership and Turnaround
- ◆ "Organization with Innovative HR Practices" in the "Asia Pacific HRM Congress Awards, 2014" held in September 2014 at Bangalore.
- ◆ Global CSR Excellence and Leadership award at the World CSR Congress in February 2014 in Mumbai

- ◆ At National Convention on Quality Concepts, Two Quality Circle Projects from Indian Copper Complex, Ghatsila were ranked "Par Excellence" (equivalent to Gold Medal) and "Excellent" equivalent to Silver Medal respectively.
- ◆ Odisha CSR-Best CSR Practices award 2014 in recognition for its initiatives on health and hygiene.
- ◆ "NIPM National Award for HR Best Practices" Runner up Award in the 33rd Annual Conference of NIPM, 2014 held in September 2014 at Kolkata.
- ◆ Awarded first prize for our In-house Journal "Tamralipi" by Hon'ble Governor of West Bengal in September 2014 under the auspices of Town Official Language Implementation (Kolkata) Committee.
- ◆ Awarded the third prize for "Rajbasha Karyanaywan" by Hon'ble Governor of West Bengal in September 2014 under the auspices of Town Official Language Implementation (Kolkata) Committee.

Auditors' comments

The Statutory Auditors' Report has already been circulated to all the shareholders. I am glad to inform you that the C&AG after having reviewed your Company's accounts for the year ending 31st March, 2014 have given a 'Nil' report.

Acknowledgement

Before I conclude, on behalf of the Board of Directors of your Company, I wish to convey earnest thanks to the valued Share holders for your continued support and trust in us. This motivates us to excel in all our pursuits and constant endeavor to create value for you.

I take this opportunity to thank the Ministry of Mines for their unstinted support and valuable guidance. I also acknowledge the support extended by the State Governments and all other authorities and regulatory agencies.

I would like to thank my colleagues on the Board for their valuable guidance and contribution in steering the Company to higher levels of achievement.

Above all, I would like to place on record the commendable efforts and commitments shown by our most valued resource, i.e. the Human Resource of the Company as our employees have always contributed their best for the Company to set new benchmarks.

On behalf of the Board, I also take the opportunity to acknowledge the efforts, commitment and constructive cooperation of the Trade Unions and their representatives in the operation the Company.

I thank you all once again and offer my best wishes for a very joyous festive season ahead.

Kolkata
19th September, 2014

K D Diwan
Chairman-cum-Managing Director

(This does not purport to be a record of the proceedings of the Annual General Meeting)